(a) FII helps bring better management skills and technology, while FDI only brings in capital .
(b) FII helps in increasing capital availability in general, while FDI only targets specific sectors.
(c) FDI flows only into the secondary market, while FII targets primary market.
(d) FII is considered to be more stable than FDI.

Ans. (b): FDI only targets a specific enterprise. It aims to increase the enterprises capacity or productivity or change its management control. The FII investment flows only into the secondary market. It helps in increasing capital availability in general rather than enhancing the capital of a specific enterprise. The FDI is considered to be more stable than FII. FDI not only brings in capital but also helps is good governance practice and better management skills and even technology transfer.

46. When the annual Union Budget is not passed by the Lok Sabha –
(a) The Budget is modified and presented again
(b) The Budget is referred to the Rajya Sabha for suggestions
(c) The union finance Minister is asked to resign
(d) The Prime Minister submits the resignation of Council of Ministers

Ans. (d) : When the Lok Sabha does not pass the Annual Union Budget, the Prime Minister submits the resignation of the Council of Ministers. If the budget is not passed under any condition in Parliament, then it can be understood that the ruling party is in the minority. Technically, it means the government has lost the confidence vote in the Lok Sabha and it has to resign. In Indian history, this has not happened so far.

47. What is the difference between ''vote–on-account'' and ''interim budget''?
1. The provision of a vote-on-account is use by a regular Government, while and interim budget is a provision used by a caretaker Government.
2. A vote-on-account only deals with the expenditure in Government's budget while an interim budget includes both expenditure and receipts.
Which of the statements given above is/are correct?
(a) 1 only (b) 2 only
(c) Both 1 and 2 (d) Neither 1 and nor 2

Ans. (b) : Under Article 116 (a), Lok Sabha can grant an advance amount to the government by a passing grant of accounts, about which it is not possible for the government to give budget redress. It is related to the expenditure side of the budget of the government. The interim budget includes both expenditure and receipts and can be presented by the caretaker before the election and the regular government after the election.

• Agriculture, Industry and Trade

48. Which of the following can aid in furthering the Government's objective of inclusive growth ?
1. Promoting Self-Help Groups
2. Promoting Micro, Small & Medium Enterprises
3. Implementing the Right to Education Act
Select the correct answer using the codes given below:
(a) 1 only (b) 1 and 2 only
(c) 2 and 3 only (d) 1, 2 and 3

Ans. (d): Inclusive development is called development in which the people belonging to the most vulnerable section of the society get a fair share in the distraction of national income generated at a high rate of economic growth, i.e., the leakage of national income is more downstream. Encouraging self-help groups, promoting micro, small and medium enterprises and implementing the Right to Education Act can be helpful to take forward the inclusive growth target of the government.

49. A genetically engineered form of brinjal, known as the Bt-brinjal, has been developed. The objective of this is –
(a) To make it pest-resistant
(b) To improve its taste and nutritive qualities.
(c) To make it drought-resistant
(d) To make its shelf-life longer

Ans. (a) : The Bt-brinjal has genetically modified strains to resist the pest bollworm and other pests, especially against the lepidopteran insects.

50. With what purpose is the Government of India promoting the concept of Mega Food Parks?
1. To provide good infrastructure facilities for the food processing industry.
2. To increase the processing of perishable items and reduce wastage.
3. To provide emerging and eco-friendly food processing technologies to entrepreneurs.
Select the correct answer using the codes given below.
(a) 1 only (b) 1and 2 only
(c) 2 and 3 only (d) 1, 2 and 3

Ans. (b): The Eleventh Five Year Plan (2007-12) was approved by the National Development Council on 19 December, 2007.The"Mega Food Park" scheme was launched by the Central Government in September, 2008 under the five-year plan. The major objectives of the schemes are– (i) To increase the processing of perishable materials from 6% to 20% and to reduce wastage. (ii) To provide innovative and eco-friendly food processing for entrepreneurs. (iii) To provide value-added supply chain from work to market with excellent adequate infrastructure facilities for the food processing industry.

• Money/Banking, Tax System, Center- State Relation

51. India has experienced persistent and high food inflation in the recent past. What could be the reason?
1. Due to a gradual switchover to the cultivation of commercial crops, the area under the cultivation of food grains has steadily decreased in the last five years by about 30%.
2. As a consequence of increasing incomes, the consumption patterns of the people have undergone a significant change.
3. The food supply chain has structural constraints.
Which of the statements given above are correct?
(a) 1 and 2 only (b) 2 and 3 only
(c) 1 and 3 only (d) 1, 2 and 3

Ans. (b): Increased income has led to significant changes in people's consumption patterns, leading to higher food inflation. Structural bottlenecks in supply chain demand for many food items have been one of the reasons for persistent and high food inflation in India in recent years. (According to UPSC 2011 commission's Answer key option (c) will be right answer).

52. A company marketing food products advertises that its items do not contain trans-fats. What does this campaign signify to the customers?
1. The food products are not made out of hydrogenated oils.
2. The food products are not made out of animal facts/oils.
3. The oils used are not likely to damage the cardiovascular health of the consumers.
Which of the statements given above is/are above
(a) 1 only (b) 2 and 3 only
(c) 1 and 3 only (d) 1, 2 and 3

Ans. (c) : If a company marketing food product advertises that its items do not contain transfats, the company wishes to inform the customers that the food products are made out of animal fats/oils and hydrogenated oils. The oil used are also not likely to damage the cardiovascular health of the consumers. Hence, statement 1, and 3 is correct.

53. Which one of the following statements appropriately describes the ''fiscal stimulus''?
(a) It is massive investment by the Government in manufacturing sector to ensure the supply of goods to meet the demand surge cause by rapid economic growth.
(b) It is an intense affirmative action of the Government to boost economic activity in the country.
(c) It is Government's intensive action on financial institutions of ensure disbursement of loans to agriculture and allied sectors to promote greater food production and contain food inflation.
(d) It is an extreme affirmative action by the Government to pursue its policy of financial inclusion.

Ans. (b) : 'Financial Stimulus' is a deeply determinative action of the government which aims to promote economic activities in the country. Government financial stimuli are provided to overcome the slowdown of the economy or to save it from the financial crisis. Under this, the save various sectors of the economy are provided with financial incentives to protect them from recession.

54. Consider the following actions which the Government can take –
1. Devaluing the domestic currency.
2. Reduction in the export subsidy.
3. Adopting suitable policies which attract greater FDI and more funds from FIIs.
Which of the above action/actions can help in reducing the current account deficit?
(a) 1 and 2 (b) 2 and 3
(c) 3 only (d) 1 and 3

Ans. (d) : To reduce current account deficit, devaluation of domestic currency and adopting suitable policies which attract greater FDI and more funds from FIIs etc. are the actions which can be taken by a government.

55. A rapid increase in the rate of inflation is sometimes attributed to the base effect. What is base effect ?
(a) It is the impact of drastic deficiency in supply due to failure of crops.
(b) It is the impact of the surge in demand due to rapid economic growth.
(c) It is the impact of the price levels of previous year on the calculation of inflation rate.
(d) None of the statements (a), (b) and (c) given above is correct in this context.

Ans. (c): The base effect is the effect of prior data on the calculation of current data. The 'base effect' is the effect of the previous years prices on the calculation of the current inflation rate in the context of an increase in the inflation rate.